

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION
SPE7LX-24-R-X051

SOLICITATION

☒ **ORIGINAL**
☐ **ADDENDUM**

1. The Defense Logistics Agency, DLA Land and Maritime, is the contracting activity.

2. The action being approved is for the acquisition of supplies on an other than full and open competition basis. This DLA Land and Maritime acquisition is for an Indefinite Delivery Firm-Fixed Price type contract for replacement parts. The acquisition includes National Stock Number (NSN) 2920014604019-Starter, Engine, Electric. Item included on the solicitation is sourced to the following manufacturers:

- BAE Systems Tactical Vehicle Systems LP (0FW39), Large Business
- Prestolite Electric Inc (24975), Large Business

Solicitation will be issued utilizing FAR 13.5 procedures. Per 6.303-1 Requirements – FAR 13.5 procurements only require a Justification & Approval (J&A) on “sole source” code and part number buys (i.e. 1 approved source or when there is more than 1 approve source, but only one quote is anticipated, based on market research). Although NSN 2920014604019 has more than one approved source, a J&A is required because during market research Prestolite Electric stated they are now in a partnership with Triman Industries (0ZBE8) to supply this item. Triman Industries is Prestolite’s sole authorized distributor. [REDACTED], Prestolite’s Government Account Executive, stated that for this acquisition, [REDACTED] Triman Industries’ Partner Account Executive, is the point of contract for items supplied by Prestolite Electric. [REDACTED] no other offers should be expected unless Triman Industries provides a quote to another dealer. [REDACTED] responded to the market research request by returning the market research documents. Triman Industries stated they will provide an offer on subject solicitation.

An offer from BAE or any dealer offering the products of BAE is not expected. Therefore, only one offer is anticipated.

3. The supply item required to meet the activity's needs is described below:

CLIN	NSN	ITEM NAME	Estimated Annual Demand Quantity	AMC/AMSC	Federal Supply Class	Estimated Unit Price
0001	2920014604019	Starter, Engine, Electric	496	1R	2990 - Engine Electrical System Components, Non-Aircraft-10	\$ [REDACTED]

The item is a replacement part for various Mine Resistant Ambush Protection (MRAP) weapon systems. The pictures below represent the weapon systems:



Contract length will consist of one, one-year base period with four, one-year options. Option years will be exercised at the discretion of the Government. The solicitation will be unrestricted as there is no expectation of receiving offers from two or more small businesses offering the domestic product of a small or more business concern (FAR 19.502-2(b)(1)).

ESTIMATED ANNUAL DEMAND VALUE: \$ [REDACTED]

*Estimated Base Value represents the first year (Base Year) of the contract for subject NSN. The estimated base value is calculated by multiplying the estimated annual demand quantity (ADQ) by the estimated unit price to establish an estimated Annual Demand Value (ADV).

ESTIMATED TOTAL VALUE (BASE + OPTIONS): \$ [REDACTED] 0*

*The Estimated Total Value is calculated by multiplying the ADV by 5 (number of contract years).

MAXIMUM CONTRACT VALUE: \$ [REDACTED] *

*Annual demand value multiplied by 10.

4. The statutory authority permitting other than full and open competition is:

(X) 10 U.S.C. 3204(a)(1) - Available from only one or a limited number of sources.

Items are only available from the limited, approved sources stated below. No other type of property will satisfy the needs of the agency.

5. If restricted to the only source(s) of supply, include source(s) and CAGE code:

As of August 3, 2024, the Approved Materials and Parts List (AMPL), lists only Prestolite Electric, Inc (24975), and BAE Systems Tactical Vehicle Systems LP (0FW39) as the approved sources for this item. The chart includes the approved sources and part numbers.

CLIN	NSN	Approved Source	Approved Part Number
0001	2920014604019	Prestolite Electric, Inc (24975)	M0017703ME
		BAE Systems Tactical Vehicle Systems LP (0FW39)	12378862-001 & M0017703ME

[REDACTED], Quality Assurance Specialist, certified that the technical information is complete and accurate. All means to obtain a technical data package adequate for manufacture of the items has been exhausted. The technical certification is provided as Attachment 1, titled, *Tech Cert*.

The use of the authority cited is based on:

- AMC 1- Suitable for competitive acquisition for the second or subsequent time

(The following is the AMSC description. The full text is available in DFARS PGI 217.7506 Part 2).

AMSC R. The Government does not own the data or the rights to the data needed to purchase this part from additional sources. It has been determined to be uneconomical to buy the data or rights to the data. It is uneconomical to reverse engineer the part. This code is used when the Government did not initially purchase the data and/or rights. If only one source has the rights or data to manufacture this item, AMCs 3, 4, or 5 are valid. If two or more sources have the rights or data to manufacture this item, AMCs 1 or 2 are valid.

Prestolite Electric, Inc (24975) and BAE Systems Tactical Vehicle Systems LP (0FW39) are the only sources that have the data or the data rights necessary to manufacture the item. These sources are the owners of their drawings and technical data rights. The Government did not buy their proprietary rights to produce a competitive TDP. Prestolite Electric, Inc and BAE have the engineering expertise to perform all efforts required to provide the supplies identified in this certification. For the various MRAP weapon

systems, the military services have only approved the parts provided by Prestolite Electric, Inc (24975) and BAE Systems Tactical Vehicle Systems LP (0FW39).

6. Efforts to ensure that offers are solicited from as many sources as practicable are:

- (X) The acquisition will be synopsisized on www.SAM.gov prior to solicitation opening date.
- (X) Manufacturer of exact products identified in the market research will be solicited although a submitted proposal is unlikely.
- (X) Dealers of the manufacturer will be solicited
- (X) Solicitation will be posted on DLA Internet Bid Board System (DIBBS) for 30 days.

7. I hereby determine that the anticipated cost to the Government will be fair and reasonable.

Prices will be determined fair and reasonable through price analysis based upon the application of the Producers' Price Index (PPI) to the past acquisitions. Should more than one offer be received, proposed prices will be compared among all offers to determine if price competition exists. Contract is firm-fixed price with a contract length of one-year base period and four, one-year options that will be exercised at the Government's discretion. A price analysis for future contract years will be conducted based on the Global Insights Producer Price Index (PPI) forecasts. The total value of this acquisition is greater than the \$2,000,000.00 threshold for Certified Cost or Pricing Data (CCPD). However, because the item is determined as commercial per FAR 15.403-1(b)(3) CCPD is not required. Buyer will use all methods stated to determine all contract years and quantity range prices fair and reasonable.

8. Market Research/Efforts to Obtain Competition:

Buyer reviewed buy history for potential sources (See Attachment 2 – Procurement History). Buy history shows that the item was provided by approved source Prestolite Electric Inc (24975) and dealers of the approved sources. Buy history shows that BAE Systems Tactical Vehicle Systems LP (0FW39) has not provided the item directly to the Government. Most recently, item was purchased as single buys below the Simplified Acquisition Threshold. No prior J&As are available.

Market Survey [10 U.S.C. 3204(a)(1)]:

Market research was conducted during June 21 – July 22, 2024.

Total number of vendors contacted: 3

- Prestolite Electric, Inc (24975) – Large Business, Manufacturer
- Allied Defense Industries – Small Business, Dealer
- Triman Industries (0ZBE8) – Large Business, Dealer

Techniques used to conduct market research: Survey questionnaires, review of buy history, Sources Sought notice, internet search on exact and similar items, and email and phone conversations.

Types of information requested: Business type, business size, interest in LTC and length of contract, commerciality of the item, approximate price and delivery, inspection and packaging compliance, and ability to provide Certified Cost & Price data.

Prestolite Electric and Allied Defense was directly contacted for market research purposes. As stated previously, Curtis Rose, Prestolite's Government Account Executive, responded stating that Triman Industries is Prestolite's sole authorized distributor. Triman Industries provided the following market research information:

- An offer from Triman Industries is expected.

• [REDACTED]

• [REDACTED]

• [REDACTED]

• [REDACTED]

• [REDACTED]

- A [REDACTED]
- [REDACTED]
- [REDACTED]

Allied Defense did not respond to market research request.

Contracting Officer conducted additional research. Research conducted by the Contracting Officer included the following:

- Checked the Commercial-Off-The-Shelf (COTS) line in the Material Master for each item to verify if the COTS line was populated with either a "Yes", "No", or is blank. For this NSN, the COTS line was blank.
- Referred to the Defense Contract Management Agency (DCMA) Commercial Item Group (CIG) database to see if commercial determinations and/or other commercial recommendations were submitted to other DCMA offices and buying command engineers/SMEs for review. The subject NSN was not previously submitted for review.
- Conducted an internet search using the item's approved part number and nomenclature to determine if the exact item or similar items are available for purchase to the public. The exact part number for the item was not found to be commercially available to the public. In addition to searching the approved part number, the Contracting Officer also searched by using the item's nomenclature. The internet search did result in commercial items of a type being available for commercial use on a variety of vehicles.
- Review of buy history shows that item was previously determined commercial by Contracting Specialist, [REDACTED] on solicitation SPE7L720RX001. Contracting Officer, [REDACTED] agreed and approved. [REDACTED] approved as Level Above Contracting Officer. Previous determination is provided as Attachment 3, titled *MRCDM - SPE7L720RX001*.

Based on the results of the market research conducted, Contracting Officer determined that the subject NSN listed above is commercial of a type item. There is no reason to reverse the previous commerciality determination.

To identify other possible sources, a Sources Sought notice was issued on SAM.gov. The notice was posted on June 21, 2024, with a response date of June 28, 2024. Contracting Officer received no responses from the Sources Sought Notices.

9. Additional facts supporting other than full and open competition are:

Based upon the technical certification on file in DLA Land and Maritime-VEP technical data is not available and cannot be developed to permit full and open competition. The data presently available reflects the minimum needs of the Government.

Additionally, forecast information is available to all potential sources for both sole source and competitive items. The DLA Supplier Requirements Visibility Application (SRVA) is a database that is available via the DLA internet Bid Board System (DIBBS.) SRVA provides potential sources the opportunity to search for information on DLA's anticipated requirements based on updated monthly forecasts. Essentially it provides 24 months of sole source and competitive projected purchase order quantities. Potential alternate sources for current sole source items can easily see DLA's forecasted procurements and can contact the Value Management Unit to become approved sources for sole source and code and part number items. The DLA Land & Maritime Value Management Unit continually seeks out sole source, limited competition, over-priced, low reliability and hard to buy items to improve their value and support posture. The DLA Land & Maritime internet website contains information for all potential sources on how to challenge prices, how to submit a Value Engineering Change proposal, a link to DoD's Value Engineering program and the necessary contact info for both the DLA Value Engineering program and the DoD Value Engineering program.

10. A listing of sources, if any, indicating an interest in the acquisition is:

Triman Industries is the only source expressing interest in this acquisition. An offer is only expected from Triman Industries

11. The following actions are being taken to identify additional sources:

The Government will continue to conduct market research, to see if changes occur in the marketplace that would enable future actions for these items to be competitive. The Government will also include in the solicitation DLA Procurement Notes L04 Offers for Part Numbered Items and DLA Procurement Note, M06 Evaluation of Offers for Part Numbered Items. Should alternate offers be received, sources will be encouraged to submit a source approval request (SAR) package that will be referred to the engineering activity for consideration of future procurements.

I hereby certify that the information contained in this justification is accurate and complete to the best of my knowledge and belief. If not exceeding \$750,000, this signature serves as the approval.

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August 8, 2024

Tracy L Holmes
Contracting Officer

Date

Approval/Certification

I have reviewed and approve this justification. The estimated total value of the J&A is \$3,355,936.00.

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Competition Advocate Signature

Date

APPROVAL REQUIREMENTS

☒ Up to \$750,000

Contracting Officer

☒ \$750,000 to \$15,000,000

Competition Advocate

Attachments:

1. Technical Certification
2. Procurement History
3. MRCDM - SPE7L720RX001